

ber 2020, admits it is impractical for Tech Mahindra to try and do everything. “Yes, we must prioritise, and since we are good at telecom, for instance, the approach is to map opportunities. Capital is always limited, and while it may be enticing to go for the revenue, it is critical to balance risk-reward,” says Anand.

Change is underway at many levels. One example is the decision to bring in a CMO. Joshi brought in Peeyush Dubey, who had worked at Infosys, Mindtree and LTI. “Crafting a strategic brand narrative is important coupled with marketing moving to a marketing technology role. With AI, ML, experiential design and the likes of influencers and analysts, we wanted somebody to anchor that ecosystem,” says Joshi. In the past, each business had its marketing team till he decided to consolidate it.

Dubey says positioning a services company is difficult. “That’s because differentiation is a challenge. For us, there is the advantage of heritage plus very strong service lines upwards of \$1 billion each,” he explains.

According to Axis Securities’ Tanksale, demand for Gen AI will be a revenue driver for Indian IT services firms. “The challenge is creating a specialised team and providing timely deliverables,” he says. Samco’s Mehta says, “The forward-thinking strategy fits well with the expected rise in demand for customised, high-quality AI products.” Citing Bloomberg Intelligence (which says the global Gen AI market was worth \$40 billion in 2022),



“Recent efforts such as reducing the number of strategic business units and eliminating low-potential areas indicate a focus on optimising resources and enhancing profitability”

SIDDHESH MEHTA
RESEARCH ANALYST, SAMCO SECURITIES

he says IT firms are developing a workforce capable of turning discussions about AI into actual business agreements. “Tech Mahindra stands out with its strategic initiatives like creating pre-built use cases in its Gen AI studio and devising an AI proficiency program to enhance employees’ skills.”

CHALLENGES, BIG AND SMALL

When will Tech Mahindra be mentioned in the same breath as its rivals? “Tech Mahindra has never been managed with the tight operational discipline needed for high performance and in a way that effectively leverages its structural advantages,” says Peter Schumacher, Founder & CEO of Value Leadership Group, an international management consulting firm. The consequence, he explains, “was a misaligned operating model, an unfavourable revenue mix, unusually low margins, high costs, and weak pricing power”.

Schumacher says Joshi is a good choice to reboot Tech Mahindra. “He brings a wealth of experience and has a clear idea from his time at Infosys of what it takes to achieve consistently superior performance levels in a sizeable IT services firm,” he says.

Joshi says the company’s three-year road map is not only about working on a revenue plan. “We need to understand how AI can transform sectors and the sub-sectors where we want to build capabilities. We need to create an organisation known for domain strengths and technological prowess,” he says.

Schumacher maintains it is too early to say how much Gen AI will drive meaningful incremental revenue growth. “We believe that only after Gen AI is embedded in business processes and interwoven with other technologies will IT services companies gain a better perspective of the opportunity spectrum and predict the demand,” he says.

Schumacher is clear that merely improving operating performance is not enough. “The transformation will be successful only if Mohit and his team can institutionalise changes to structure and culture, create new advantages and establish meaningful differentiation. Identifying these new advantages and points of difference will require creativity and deep consumer insights,” he says.

Joshi points out that business is about being low on capex and big on hiring. “If you see something promising, you can pivot. To do that with software is a lot harder,” he says. Tech Mahindra has myriad opportunities. It is really a question of the strategic pieces coming together. That will determine the contours of the company’s next round of growth. **BT**

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